

Internationalization and Performance

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Contractor, Kundu & Hsu (2003) · Mezias (2002) · Ghemawat (2001) · Arregle et al. (2021)

These are not four topics. They are one diagnosis, four times.

At each stage the field measured the wrong thing — or measured one thing while believing it had measured another.

CONTRACTOR

measured segments of one curve, reported them as different relationships

MEZIAS

measured aggregate performance, believed it had measured foreignness

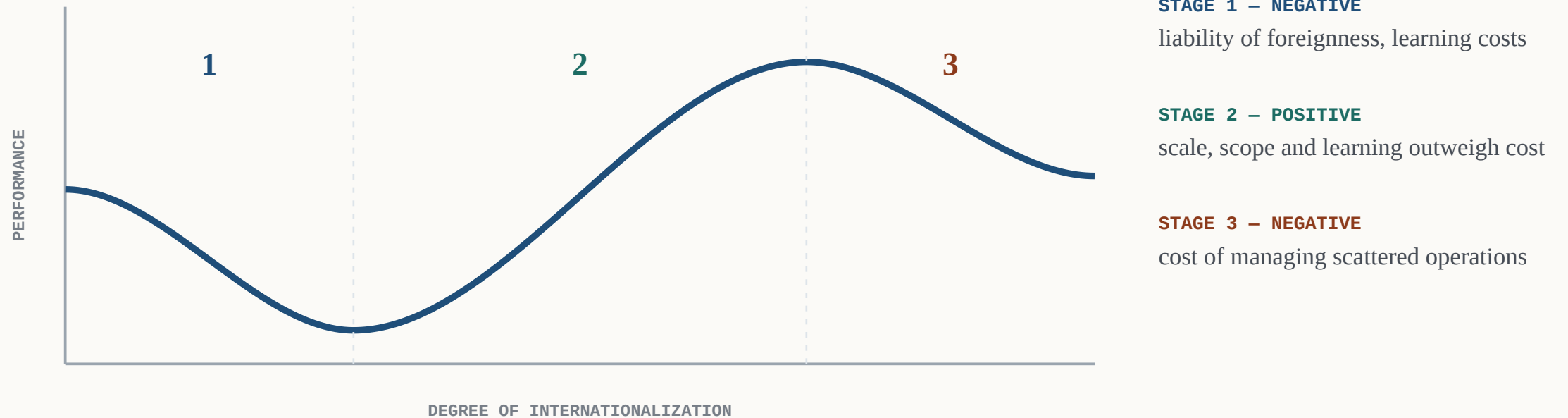
GHEMAWAT

measured market size, believed it had measured opportunity

ARREGLE

30 years, 220 studies, still “varied and at times incompatible findings”

Why the field disagreed for thirty years.



Sample only the middle and you report a positive linear relationship. Sample the ends and you report an inverted U. The disagreement was partly artefactual.

Who over-expands, and why nobody notices.

OVER-EXPAND MORE READILY

Knowledge-based service firms — advertising, market research, securities, publishing.

Lower fixed-asset exposure, so the cost of one more market is easier to underwrite.

OVER-EXPAND LESS READILY

Capital-intensive firms — airlines, hotels, construction, retail.

Fixed assets make each additional market an expensive commitment.

THEIR WORDS

“Few companies possess the managerial tools that would tell them when they have over-internationalized.”

That turns a JIBS paper into a contribution to practice, not only to theory — and it is the line to say out loud.

Thirty years later. Same question. Still unresolved.

220

studies reviewed

30

years

7

IB themes

7th

is Contractor's question

VERBATIM

“...has offered varied and at times incompatible findings on how family ownership and management shape internationalization.”

The seven themes: scale · scope · entry mode · location · process · timing and rhythm · performance. Theme 7 is the multinationality–performance question asked of a different population, eighteen years on.

Two hundred and twenty studies is not too few. A literature that stays incompatible at that volume is signalling a problem upstream of any single study.

Liability of foreignness, isolated at last.

DANIELA — YOUR SLIDE

- 486 British, German and Japanese subsidiaries matched against 486 US-owned firms, same industries and cities
- The measure: US labour lawsuit judgments — “labor lawsuits only measure labor-related disadvantage”
- Transfer pricing does not contaminate it, which aggregate performance measures cannot claim
- Within the foreign subsample: staffing strategy, autonomy, affiliated firms, subsidiary age
- Employee plaintiffs won 78.9% of defamation, 70.0% of discrimination, 58.4% of wrongful discharge

Placeholder — Daniela builds this. Talking points supplied so the deck is complete either way.

Distance is four things. Star TV solved one.

DANIELA — YOUR SLIDE

- C** Cultural — language, ethnicity, social norms, religion
- A** Administrative — colonial ties, currency, trade blocs, hostility
- G** Geographic — physical distance, borders, transport, climate
- E** Economic — consumer wealth, cost of resources, infrastructure

Star TV: ~\$825m paid 1993–95, ~\$500m lost FY1996–99. Satellite delivery beat geographic distance. It was the only kind they had addressed.

Placeholder — Daniela builds this.

TOGETHER

Four designs, one problem.

	Contractor 2003	Mezias 2002	Ghemawat 2001	Arregle 2021
Type	Empirical, theory-building	Empirical, matched-pair	Practitioner framework	Systematic review
Sample	US service-sector MNEs	486 foreign + 486 US	Cases, incl. Star TV	220 studies, 30 years
Measure	Multiple DOI measures	Labour lawsuit judgments	CAGE distance	Synthesis
Claim	M–P is sigmoid	LOF is isolable	Distance is four things	Findings incompatible

THE THROUGH-LINE

Every one of them made progress by changing what was measured — not by collecting more of the same thing.

Where this goes next.

3 SEP · ENTRY MODE

If Stage 1 is negative, mode choice is a decision about how much of that early cost to absorb at once.

24 SEP · INSTITUTIONS

Ghemawat's CAGE is a pre-Hofstede way of saying what that session says with formal distance measures.

BACK TO RESIDENCY 1

Rugman and Verbeke's firm-specific advantages are what carry a firm through Stage 1 at all.

ACROSS THE ROOM

Sumit K. Kundu of FIU is an author on both Contractor (2003) and Arregle (2021) — eighteen years apart, the same question about performance, still unresolved.